

Financials | Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

ROE

16.7%

ROCE

3.2%

Debt / Equity

14.87

Revenue CAGR 5Y

18.2%

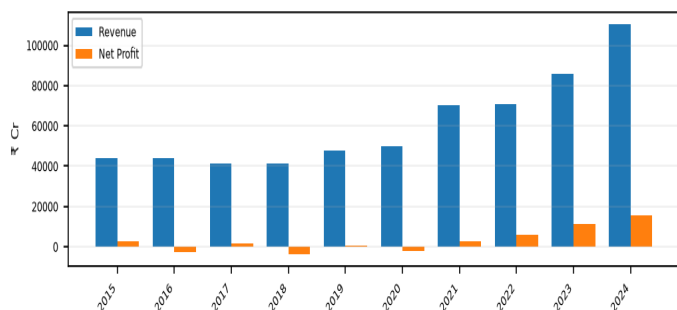
PAT CAGR 5Y

85.8%

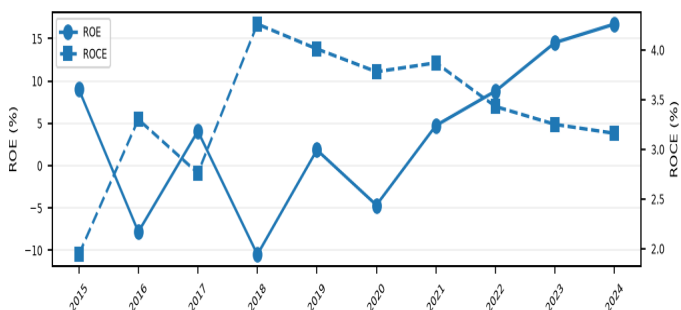
Free Cash Flow

■13,296 Cr

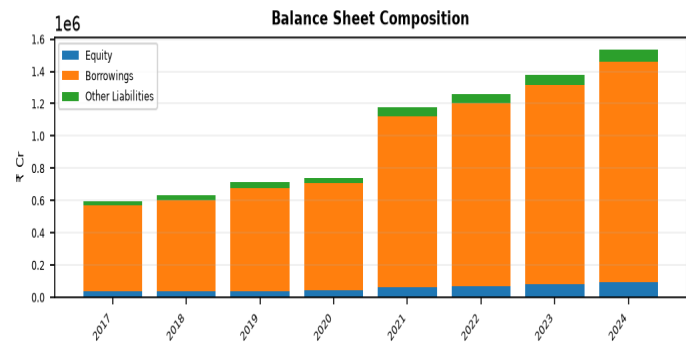
10-Year Revenue and Net Profit



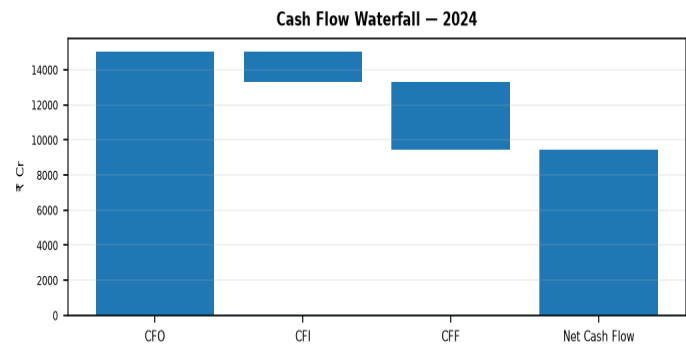
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Reinvestor